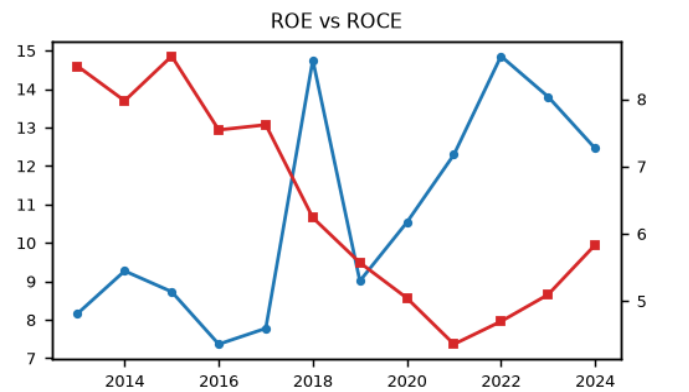
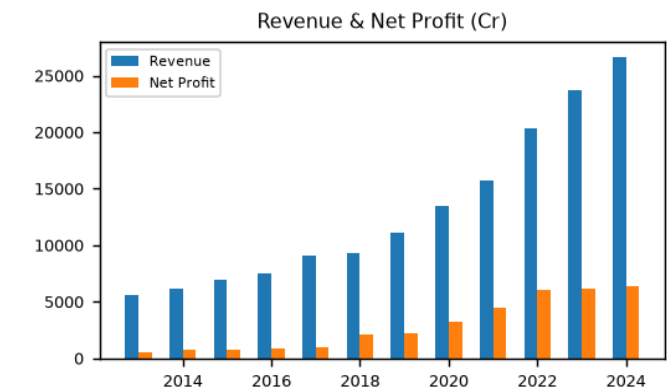
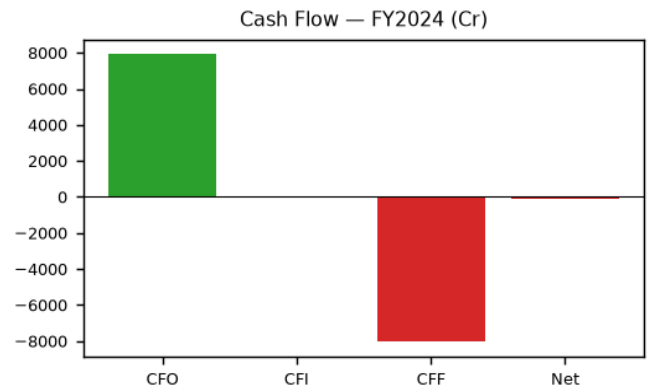
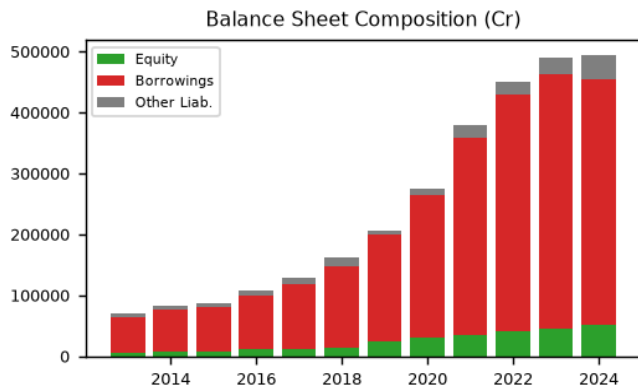


# Indian Railway Finance Corporation Ltd (IRFC)

Financials · Fiscal Year 2024

|                     |                                  |                                   |
|---------------------|----------------------------------|-----------------------------------|
| <b>ROE</b><br>12.5% | <b>ROCE</b><br>5.8%              | <b>Net Profit Margin</b><br>24.1% |
| <b>D/E</b><br>7.8   | <b>Revenue CAGR 5yr</b><br>19.1% | <b>FCF (Cr)</b><br>7,906          |





## Pros

- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Consistent dividend yield above 2% backed by positive free cash flow
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Revenue growing slower than profits shows improving operating leverage and scale benefits

## Cons

- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility

Capital Allocation: Shareholder Returns